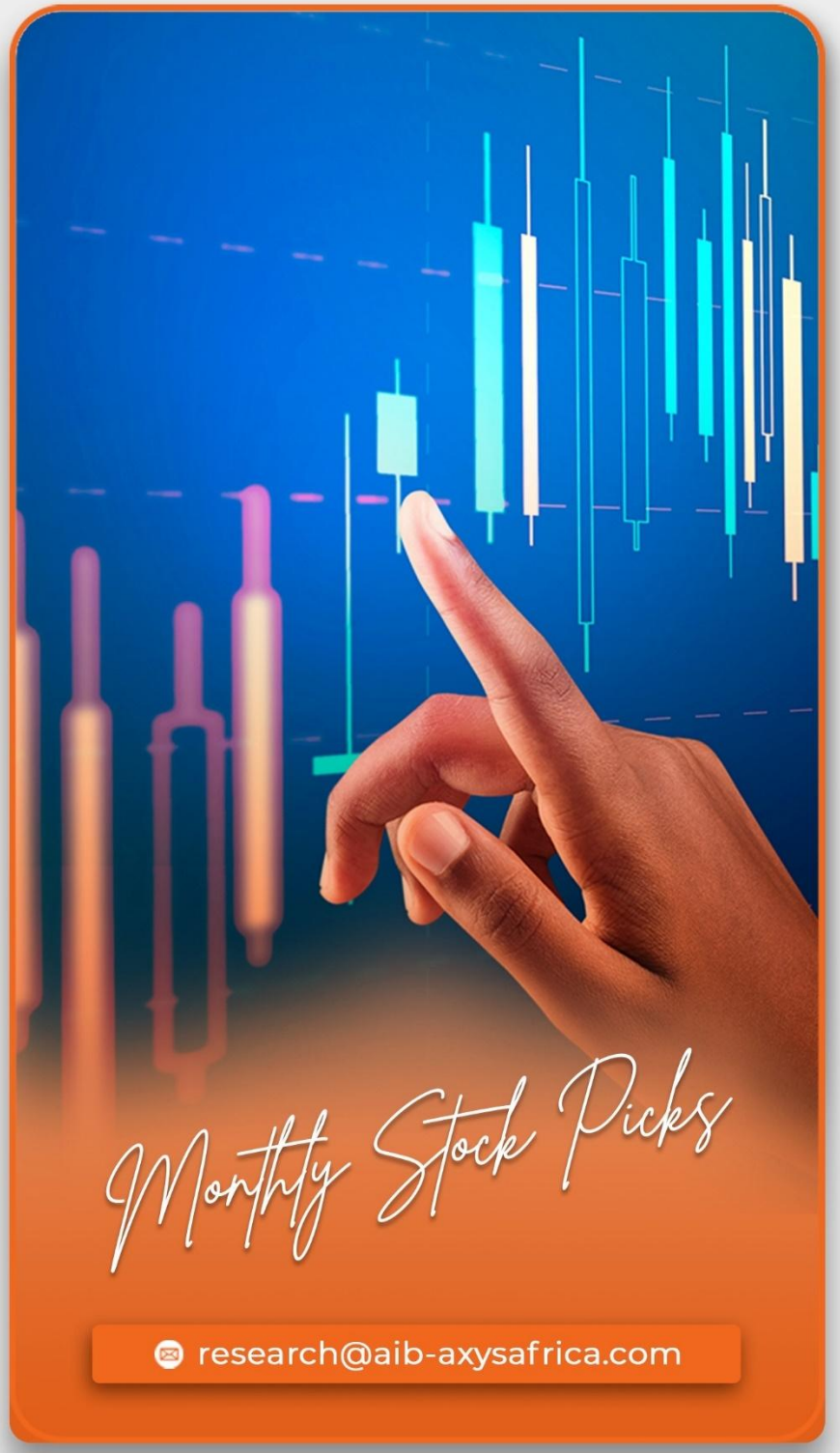
AIB AXYS AFRICA

MONTHLY



STOCK PICKS

• W: www.aib-axysafrica.com • E: research@aib-axysafrica.com • P: +254-711047000

AIB-AXYS May 2025 Stock Recommendations

April 2025 Highlights

- **Sanlam Rights Issue - Sanlam Kenya announced a rights issue seeking to raise KES 2.50Bn, issuing an additional 500Mn shares at KES 5.00 per share. The entitlement ratio is 125 new shares for every 36 existing shares. The issue commenced on 25th April 2025 and will close on 12th May 2025.** The insurer intends to use the proceeds primarily to settle a pending loan obligation, which has been weighing on profitability due to high-interest expenses. Additionally, part of the funds will be allocated to strengthen day-to-day operations. If fully subscribed, the rights issue could alleviate the company's debt burden, thereby improving its financial flexibility. This is particularly significant given Sanlam's return to profitability in FY'24, largely driven by strong investment returns amid a high-interest-rate environment. However, with interest rates declining in FY'25, investment income-a key earnings driver- is expected to soften, potentially squeezing profit margins. Additionally, given the new entrants into the insurance market - particularly from the bancassurance players- we expect increased competition to limit the upside potential of its insurance business line, further limiting its potential realizable earnings.
- **April Monetary Policy Committee Meeting - The Monetary Policy Committee met on 8th April 2025 to review the Central Bank Rate (CBR), deciding to lower the rate by 75 bps 10.00%, surpassing our in-house expectation with a range of 10.25% to 10.50%, as it strived to further prompt private sector lending growth.** Additionally, the committee decided to narrow the interest rate corridor around the CBR from ±150 basis points to ±75 basis points aiming to improve the effectiveness of monetary policy transmission. Looking ahead, we expect further rate cuts amid a stable local macroeconomic backdrop. However, the MPC may moderate the size of upcoming cuts to avoid renewed exchange rate volatility, driven by a widening interest rate differential with the US as the Federal Reserve maintains its stance on holding interest rates steady.
- **Earnings Season- During the month, we witnessed earnings releases from Sameer Africa, Nation Media, East African Cables, TotalEnergies Marketing Kenya, Crown Paints and Express Kenya each registering mixed fortunes on the back of a challenging macroeconomic environment.** The appreciation of the Kenyan shilling remained a key theme, benefiting some firms through lower input costs, while others experienced reduced revenues from export markets. At the same time, weakening consumer demand weighed on earnings for several companies, as high inflation and elevated interest rates dampened consumer confidence. Looking ahead to FY'25, we expect firms—particularly manufacturers—to benefit from a more accommodative borrowing environment, as interest rates decline and banks increase credit availability. Furthermore, with inflation remaining within the CBK's target range, we anticipate improved sales momentum, a trend already reflected in recent PMI readings.

What does May 2025 Hold?

- **Q1'25 Earnings Season -** We anticipate the release of Q1'25 results from the banking sector, and given the various policy changes in the market, we expect lenders to exhibit key movements in both balance sheet and income statement numbers. Notably, interest income is likely to decline due to the prevailing easing monetary policy. We also anticipate a modest increase in loans and advances, driven by growing credit appetite amid low lending rates, though more pronounced impacts are expected in the third and fourth quarters.

Table 1: Summary of Latest Net Earnings Results

	Company	Comment
1.	**ABSA Bank**	Net earnings increased by 27.5% y/y to KES 20.88Bn, underpinned by a 15.4% y/y growth in net interest income and a notable 10.8% y/y rise in non-funded income. Credit impairment provisions decreased 1.6% y/y while the loan book contracted by 7.9% y/y.
2.	**Co-operative Bank**	Net earnings increased by 9.8% y/y to KES 25.46Bn, underpinned by a 13.9% y/y increase in net interest income and a 10.1% y/y increase in non-funded income. Credit impairment provisions increased 44.2% y/y.
3.	**Diamond Trust Bank**	Net earnings increased by 13.1% y/y to KES 8.82Bn, underpinned by a 3.0% y/y increase in net interest income and a 6.1% y/y increase in non-funded income. Credit impairment provisions declined 15.6% y/y while the loan book contracted by 7.5% y/y.
4.	**E.A Breweries Limited**	EABL Group posted a 20% uptick in its earnings translating to KES 8.1Bn for the period under review. This growth was driven by effective cost management offsetting inflation, enhanced operational efficiencies and currency appreciation. An interim dividend of KES 2.50 per share was declared.
5.	**E.A Portland Cement**	Net earnings improved to a profit of KES 35.1Mn from a loss of KES 720.7Mn. This return to profitability was anchored on improving sales volume driven by strategic pricing. Additionally, improved plant utilization helped minimize operational costs, improving retained earnings in the period.
6.	**Equity Group**	Net earnings increased by 11.6% y/y to KES 48.82Bn underpinned by an 3.7% y/y increase in net interest income and a 10.7% y/y increase in non-funded income. Credit impairment provisions declined by 43.3% while the loan book contracted by 7.7% y/y.
7.	**I&M Group**	Net earnings increased by 24.8% y/y to KES 16.65Bn, underpinned by a 31.2% y/y increase in net interest income. Non-funded income decreased by 2.8% y/y. Credit impairment provisions increased by 13.8% y/y while the loan book contracted by 7.8% y/y.
8.	**Kapchorua Tea**	Net earnings plunged by 91.6% y/y to KES 18.23Mn from KES 218.10Mn. The decline was driven by persistent oversupply in the global tea market, which continued to suppress demand and prices.
9.	**KCB Group**	Net earnings increased by 64.9% y/y to KES 61.77Bn underpinned by a 28.0% y/y increase in net interest income and an 16.6% y/y increase in non-funded income. Credit impairment provisions increased 11.0% y/y.
10.	**KPLC**	KPLC maintained its earnings momentum witnessed in the second half of FY24, as net earnings recorded a 3025.39% y/y growth to KES 9.97 Bn up from KES 0.32 Bn recorded a year prior. An interim dividend of KES 0.20 per share was declared.

Table 1: Summary of Latest Net Earnings Results

	Company	Comment
11.	**NCBA Group**	Net earnings increased by 1.9% y/y to KES 21.87Bn. Net interest income declined by 0.3% y/y while non-funded income declined by 3.1%y/y. Credit impairment provisions decreased by 40.1% y/y while the loan book contracted 10.4% y/y.
12.	**Safaricom**	Shareholder net earnings declined by 17.7% y/y to KES 28.12Bn, primarily prompted by foreign exchange reforms in Ethiopia. Group revenues grew 15.1% y/y to KES 189.42Bn driven largely by value-driven double-digit growth in M-Pesa and Mobile Data.
13.	**Stanbic**	Net earnings decreased by 16.6% y/y to KES 3.33 Bn underpinned by an 8.9% y/y decrease in total interest income coupled with a 27.2% y/y decrease in non-funded income. Credit impairment provisions decreased by 24.8% y/y.
14.	**Standard Chartered Bank Kenya**	Net earnings increased by 45.0% y/y to KES 20.06Bn underpinned by a 13.4% y/y growth in net interest income and a 40.4% y/y growth in non-funded income. Credit impairment provisions increased by 29.6% y/y.
15.	**Williamson Tea**	Net earnings declined to a loss of KES 122.39Mn from a profit of KES 477.11Mn. Revenue declined 11.9% y/y driven by oversupply in the global tea market, which pressured prices and demand.
16.	**Liberty Kenya Holdings**	Net earnings increased to KES 1.40 Bn from a profit of KES 0.68Bn. Revenue momentum was propelled by an 872.2% y/y increase in Investment gains to KES 5.73Bn. Insurance revenue increased by 1.1% y/y to KES 10.95 Bn while insurance service expenses declined by 1.1%, leading to net insurance revenue of KES 2.42Bn.
17.	**CIC Insurance**	Net earnings increased to KES 2.85 Bn from a profit of KES 1.44Bn. Revenue momentum was propelled by a 201.4% y/y increase in Investment return to KES 8.83Bn. Insurance revenue increased by 3.7% y/y to KES 26.3 Bn while insurance service expenses declined by 7.4%, leading to net insurance revenue of KES 0.34Bn.
18.	**Jubilee Insurance**	Net earnings increased to KES 4.24Bn from a profit of KES 2.58Bn. Revenue momentum was propelled by an increase in net financial results to KES 4.06Bn from a loss of KES 0.27Bn in FY'23. Insurance revenue increased by 13.5% y/y to KES 25.67 Bn while insurance service expenses declined by 11.3%, leading to net insurance revenue of KES 0.69Bn.
19.	**Kenya RE**	Net earnings declined to KES 4.43 Bn from KES 4.97 Bn on the back 3.7% decline in of insurance revenue to KES 18.8 Bn from KES 19.57 Bn. Insurance expenses dropped significantly to KES 10.49 Bn from KES 13.10 Bn. Foreign exchange losses of KES 1.68 Bn squeezed profit margins. A dividend of KES 0.15 per share was declared

April 2025 Equities Market Highlights

- On a monthly perspective, the market indices maintained bearish sentiments with the **Nairobi All Share Index** declining by **3.6% m/m**, NSE-20 declining **4.1% m/m,** and NSE-10 declining **4.3% m/m**.

- **Equities market turnover dwindled by 7.3% m/m to KES 7.52Bn in April 2025 from KES 8.11Bn in March 2025. On a yearly perspective, turnover expanded by 2.5% from KES 7.33Bn.** Market capitalization contracted by 3.6% m/m to KES 1.98Tn, signaling a slight decline in investor wealth. Looking ahead, we anticipate that the performance of the Kenyan equities market will remain subdued, as ongoing global market uncertainties continue to dampen investor sentiment. Trading activity is expected to stay focused on the banking sector, driven by the upcoming release of Q1 2025 earnings later this month. Investors are likely to closely monitor these results to strategically position themselves for potential capital gains.

- **Foreigners' participation expanded to 64.6% of the total market activity.** Foreign sentiment remained bearish, resulting in net outflows of KES 850.9Mn.

Table 2: Equity Market Statistics

Statistic	Apr-25	Mar-25	Apr-24	m/m change	y/y change
Equity Turnover (KES Mn)	7,518.1	8,112.2	7,333.7	▼ (7.3%)	▲ 2.5%
Market Cap (KES Bn)	1,981.8	2,056.1	1,664.5	▼ (3.6%)	▲ 19.1%
NSE All Share Index (RHS)	126.1	130.8	106.5	▼ (3.6%)	▲ 18.3%
NSE 10 Index	1,284.7	1,342.4	1,112.3	▼ (4.3%)	▲ 15.5%
NSE 20 Index	2,135.5	2,226.9	1,691.0	▼ (4.1%)	▲ 26.3%
NSE 25 Index	3,412.6	3,532.4	2,850.9	▼ (3.4%)	▲ 19.7%
Foreign buys	4,430.4	2,058.7	4,417.7	▲ 115.2%	▲ 0.3%
Foreign sales	5,281.3	2,984.9	3,354.6	▲ 76.9%	▲ 57.4%
Net F. Flows	(850.9)	(926.2)	1,063.0	▼ (8.1%)	▼ (180.0%)
Total Volume Traded (Mn)	**329.3**	**470.4**	**293.2**	▼ (30.0%)	▲ 12.3%

Source: NSE, AIB-AXYS Africa Research

- ***Crown Paints Kenya*** was the top gainer in April 2025 clocking an 18.5% m/m valuation gain to KES 35.55, the company returned to profit making registering a net profit of KES 544.00 Mn from a loss of KES 29.00 Mn the previous year. ***ABSA New Gold ETF*** was the second largest gainer rising 13.6% m/m to KES 3,925.00, tying with ***Liberty Kenya Holdings,*** which climbed 13.6% m/m to KES 11.70. ***Kakuzi Plc*** was fourth, climbing 10.0% m/m to KES 440.00 and ***Stanbic Holdings*** was fifth gaining 7.9% m/m to KES 174.50.

- ***Unga Group*** was the top capital loser shedding 16.3% m/m to KES 21.00. ***Longhorn Publishers*** was second trimming 16.2% m/m to KES 2.53 while ***Britam Holdings*** was third trimming 15.3% m/m to KES 6.76. ***Kenya Airways Ltd*** was fourth trimming 15.1% to KES 4.23 while ***Nation Media Group Plc*** was fifth trimming 15.0% m/m to KES 11.60.

Table 3: Top Gainers and Losers April 2025

Top Gainers April	Closing Price	% Change
Crown Paints Kenya	KES 35.55	▲ 18.5%
ABSA New Gold ETF	KES 3,925.00	▲ 13.6%
Liberty Kenya Holdings	KES 11.70	▲ 13.6%
Kakuzi Plc	KES 440.00	▲ 10.0%
Stanbic Holdings	KES 174.50	▲ 7.9%
Trans-Century Plc	KES 1.32	▲ 4.8%
Eaagads Ltd	KES 12.00	▲ 4.3%
Jubilee Holdings	KES 200.00	▲ 4.0%
Standard Group	KES 6.18	▲ 3.0%
NCBA Group	KES 54.00	▲ 2.9%

Top Losers April	Closing Price	% Change
Unga Group	KES 21.00	▼ (16.3%)
Longhorn Publishers	KES 2.53	▼ (16.2%)
Britam Holdings	KES 6.76	▼ (15.3%)
Kenya Airways Ltd	KES 4.23	▼ (15.1%)
Nation Media Group Plc	KES 11.60	▼ (15.0%)
Sanlam Kenya Plc	KES 7.20	▼ (14.3%)
Express Kenya Ltd	KES 3.08	▼ (13.7%)
HF Group Plc	KES 6.06	▼ (12.2%)
Sameer Africa	KES 3.18	▼ (11.9%)
WPP Scangroup	KES 2.92	▼ (10.4%)

Source: NSE, AIB-AXYS Africa Research

- ***Safaricom Plc*** recorded the highest turnover in April 2025, with aggregate turnover clocking KES 1,989.5Mn. ***Equity Group Holdings*** was second, with turnover amounting to KES 1,714.9Mn. ***KCB Groups*** stood third, with total turnover clocking KES 1,260.5Mn. Foreigners accounted for the larger share of trading activity in ***Safaricom, Equity Group Holdings, East African Breweries, and BK Group.***

Table 4: Top Movers April 2025

Top Movers April	Turnover (KES Mn)	Turnover (USD Mn)	Foreigners' Participation	Closing Price	% Change (YTD)
Safaricom Plc	KES 1,989.5	$15.40	82.8%	KES 17.55	▼ (4.1%)
Equity Group Holdings	KES 1,714.9	$13.27	87.5%	KES 45.70	▼ (3.0%)
KCB Group	KES 1,260.5	$9.76	41.7%	KES 38.45	▼ (8.8%)
East African Breweries	KES 849.7	$6.58	92.8%	KES 174.00	▼ (3.3%)
Standard Chartered Bank	KES 311.4	$2.41	4.2%	KES 300.00	▲ 0.3%
Stanbic Holdings	KES 233.1	$1.80	82.2%	KES 174.50	▲ 7.9%
Britam Holdings	KES 161.9	$1.25	0.0%	KES 6.76	▼ (15.3%)
Co-operative Bank of Kenya	KES 132.9	$1.03	5.0%	KES 14.40	▼ (10.0%)
BK Group	KES 116.8	$0.90	98.1%	KES 31.70	▼ (6.8%)
Kenya Power & Lighting Co	KES 93.8	$0.73	16.7%	KES 6.42	▼ (5.0%)
KenGen Co.	KES 83.9	$0.65	3.8%	KES 4.89	▼ (2.6%)
NCBA Group	KES 81.3	$0.63	0.1%	KES 54.00	▲ 2.9%
Diamond Trust Bank	KES 72.0	$0.56	5.3%	KES 74.25	▼ (2.0%)
British American Tobacco Kenya	KES 65.2	$0.50	19.5%	KES 370.25	▼ (0.3%)
I&M Holdings	KES 62.0	$0.48	0.2%	KES 30.10	▼ (7.0%)

AIB-AXYS Africa Equities Coverage Universe

Stock	Strengths	Risks	Recommendation
ABSA Bank Kenya Current Price: KES 16.45 Target Price: KES 21.20 Upside: 28.8%	• Above-average return on equity momentum on the back of effective strategy implementation. • Industry-leading efficiency indicators support further scope for capital investment spending.	• A notable acceleration in the NPL ratio to 12.6%	*BUY*
Co-operative Bank Current Price: KES 14.10 Target Price: KES 17.82 Upside: 26.4%	• Rising yield on interest-earning assets signals an improvement in reinvestment returns. • Non-funded income grew 10.1% y/y to KES 29.13Bn as in FY'24- driven by other Fees and commissions	• An acceleration in the NPL ratio to 16.7%. • Elevated stock of non-performing loans recorded by FY'24.	*BUY*
Equity Group Current Price: KES 47.75 Target Price: KES 54.38 Upside: 13.9%	• Robust commercial momentum across regional subsidiaries, notably Equity BCDC and Equity Rwanda units, supported by demographic dividends, ecosystem lending and insurance cross-selling. • Adequate coverage against protracted market risks.	• Operating efficiency eroded as reflected by the cost-to-income ratio increasing to 58.2%. • Elevated stock of non-performing loans recorded by FY'24 to KES 112.0 Bn	*BUY*
Diamond Trust Bank (DTB-K) Current Price: KES 71.50 Target Price: KES 85.68 Upside: 19.8%	• A recovering asset quality by 13.2% y/y to KES 37.85Bn reflecting a decrease in credit risk, as the bank continues to employ conservative lending approaches • Large disparity between prevailing market price and book value presents ample room for long-term price discovery.	• Rising brick-and-mortar expenses raising operating expenses. • Operating efficiency decreased signaled by the cost-to-income increasing to 51.8%. • Lackluster growth in return on equity	*HOLD*
KCB Group Current Price: KES 38.55 Target Price: KES 49.14 Upside: 27.5%	• Strategic restructuring to restore capital buffers in Kenya well above regulatory minimum coupled with the sale of National Bank of Kenya set to position Group on stable growth trajectory. • Deepening digital capabilities to support volume-driven growth in operating incomes.	• Moderating yet elevated NPL ratio remains above the industry average. • Non-performing loans remained elevated in FY'24	*BUY*
Stanbic Kenya Current Price: KES 169.00 Target Price: KES 183.06 Upside: 8.3%	• Rising yield on interest-earning assets signals an improvement in reinvestment returns. • Gross Non-Performing Loans (NPL's) decreased by 5.3% y/y in Q1'25	• Non-Funded income declined significantly attributable to reduced trading revenue, resulting from narrowing margins.	*BUY*

AIB-AXYS Africa Equities Coverage Universe

Stock	Strengths	Risks	Recommendation
NCBA Group Current Price: KES 49.10 Target Price: KES 58.97 Upside: 20.1%	• Increasing returns to scale from an expanding digital presence in East and West Africa. • The completed acquisition of AIG Insurance Kenya to ramp up overall earnings from increased risk underwriting margins and cross-selling onto existing product lines. • Resilient asset quality despite macro headwinds.	• Declining efficiency as Cost to Income ratio increased by to 51.3% in FY'24	*BUY*
Standard Chartered Bank Current Price: KES 269.75 Target Price: KES 323.79 Upside: 20.0%	• Balanced demand growth for personalized wealth management and mass retail propositions unlocking '*last mile*' growth frontiers. • Widest net interest margins on account of stable cost of funds despite rising rate environment. • Gross Non-Performing Loans (NPLs) decreased by 30.2% y/y in FY'24.	• Suboptimal deployment of investable assets, despite its inexpensive funding base. • Ongoing legal risks continue to weigh on the company's outlook, despite the appeal of the ruling to the Supreme Court.	*BUY*
EABL Group Current Price: KES 171.00 Target Price: KES 194.46 Upside: 13.7%	• Resilient demand levels across its portfolio brand offerings. • Nimble growth across subsidiaries to support steady long-term growth. • Current ratio moved into safety territory while cost indicators point to increased efficiency.	• Declining return on equity grounded by slower-than-expected net sales growth. • Uncertain global macroeconomic backdrop could weigh on profitability in the near term, while disrupting existing supply chains.	*BUY*
Safaricom Plc Current Price: KES 18.30 Target Price: KES 19.50 Upside: 6.6%	• Customer Value Management initiatives unlock new pockets of revenue growth for mature revenue lines like Voice and SMS. • Strong commercial traction in Ethiopia - led by M-Pesa and Mobile Data propositions - propelling overall group earnings growth. • Increased third-party platforming and utilization on M-Pesa App.	• Foreign exchange losses likely to weigh on profitability margins and compress the dividend payout ratio. • Competition from State-backed telco competitor likely to lengthen break-even projections in the Ethiopia unit.	*HOLD*

AIB-AXYS Africa Equities Coverage Universe

Stock	Strengths	Risks	Recommendation
Jubilee Holdings Current Price: KES 204.00 Target Price: KES 222.30 Upside: 9.0%	• Promising growth in general insurance market share complemented by the roll-out of bancassurance partnerships. • Progressive dividend policy • Large disparity between market price and book value per share offers ample room for price discovery.	• Industry-wide increase in claims ratio. • Intensifying competition in the industry, driven by the entry of banking sector players through bancassurance subsidiaries, may constrain revenue growth potential.	*BUY*
I&M Group Current Price: 30.30 Target Price: 38.84 Upside: 28.2%	• Rebounded performance of regional subsidiaries driving strong double-digit profit margins. • Resilient net interest margins on account of effective reinvestment yields.	• Stock of Gross Non-Performing Loans (NPLs) increased to KES 35.51 Bn in FY'24 • Rising brick-and-mortar expenses due to ongoing expansion raising operating expenses.	*BUY*
Kapchorua Tea Current Price: KES 200.00 Target Price: KES 241.97 Upside: 21.0%	• Efficient cost management supports agile return on equity.	• Escalation of geopolitical tensions risk disrupting key export market destinations. • Strengthening shilling presents downside risks for offshore sales. • Torrential rains risks destroying biological assets.	*HOLD*
CIC Insurance Current Price: KES 2.81 Target Price: KES 2.94 Upside: 4.6%	• Profit After Tax surging 98.0% y/y to KES 2.8 Bn in FY'24 despite sector challenges from flood related claims and anti-government protests. • Management's strategic investments delivered exceptional results, with investment income growing 201.5% y/y to KES 8.8 Bn in FY'24	• Dividend yield of 4.5% trails the industry average • Industry-wide rise in claims ratio.	*HOLD*
Williamson Tea Current Price: KES 215.00 Target Price: KES 240.00 Upside: 11.6%	• Growing demand for diverse tea blends offer new growth frontiers.	• Escalation of geopolitical tensions risk disrupting key export market destinations. • Strengthening shilling presents downside risks for offshore sales.	*HOLD*

AIB-AXYS Africa Equities Coverage Universe

Stock	Strengths	Risks	Recommendation
KenGen Plc Current Price: KES 4.86 Target Price: KES 5.51 Upside: 13.4%	• Shifting weather patterns supporting an acceleration in geothermal energy production. • Ongoing expansion of Olkaria I and IV plants to step up energy capacity by an extra 58MW by 2025. • Cost optimization initiatives continue to actualize improved cost to revenue performance	• Adverse changes in weather patterns may lead to a decline in geothermal energy production. • Existing thermal power operations remains expensive owing to rising fuel costs.	*HOLD*
KPLC Current Price: KES 6.22 Target Price: KES 6.92 Upside: 11.3%	• Continued optimization of business operations has seen working capital improvement during the half year, coming in at negative KES 18.99 Bn from negative KES 42.46 Bn registered at 2024 • Finance costs continue to decline due to the strengthening of the shilling, with retained earnings surging	• Infrastructure constraints and elevated price level could hinder the potential upside for investors, with many manufactures and high consumption clients opting to use their own power sources in a bid to tame cost pressures.	*HOLD*
Liberty Kenya Holdings Current Price: KES 11.40 Target Price: KES 12.76 Upside: 11.9%	• Progressive dividend policy. • Core business stability is expected to augment profitability.	• Intensifying competition in the industry, driven by the entry of banking sector players through bancassurance subsidiaries, may constrain revenue growth potential. • Investment returns are likely to witness a downtick, as yields on government bonds decline	*BUY*
BAT Kenya Current Price: KES 370.25 Target Price: KES 436.25 Upside: 17.8%	• Organic consumer growth, driving consistent revenue expansion. • Stabilizing cost pressures may raise gross margins. • Progressive dividend policy.	• Declining earnings momentum noted by FY'24. • Strengthening shilling presents downside risks for offshore sales. • Potential risks due to ongoing tax review	*BUY*

AIB-AXYS Africa *Shari'ah Equities* Portfolio Recommendation

Stock	Strengths	Risks	Recommendation
Williamson Tea Current Price: KES 215.00 Target Price: KES 240.00 Upside: 11.6%	• Growing demand for diverse tea blends offer new growth frontiers.	• Escalation of geopolitical tensions risk disrupting key export market destinations. • Strengthening shilling presents downside risks for offshore sales.	*HOLD*
Kapchorua Tea Current Price: KES 200.00 Target Price: KES 241.97 Upside: 21.0%	• Efficient cost management supports agile return on equity.	• Escalation of geopolitical tensions risk disrupting key export market destinations. • Strengthening shilling presents downside risks for offshore sales. • Torrential rains risks destroying biological assets.	*HOLD*
KenGen Plc Current Price: KES 4.86 Target Price: KES 5.51 Upside: 13.4%	• Shifting weather patterns supporting an acceleration in geothermal energy production. • Ongoing expansion of Olkaria I and IV plants to step up energy capacity by an extra 58MW by 2025.	• Adverse changes in weather patterns may lead to a decline in geothermal energy production. • Existing thermal power operations remains expensive owing to rising fuel costs.	*HOLD*
KPLC Current Price: KES 6.22 Target Price: KES 6.92 Upside: 11.3%	• Continued optimization of business operations has seen working capital improvement during the half year, coming in at negative KES 18.99 Bn from negative KES 42.46 Bn registered at 2024 • Finance costs continue to decline due to strengthening of the shilling, with retained earnings surging	• Infrastructure constraints and elevated price level could hinder the potential upside for investors, with many manufactures and high consumption clients opting to use their own power sources in a bid to tame cost pressures.	*HOLD*
Safaricom Plc Current Price: KES 18.30 Target Price: KES 19.50 Upside: 6.6%	• Customer Value Management initiatives unlock new pockets of revenue growth for mature revenue lines like Voice and SMS. • Increased third-party platforming and utilization on M-Pesa App.	• Foreign exchange losses likely to weigh on profitability margins and compress the dividend payout ratio. • lengthened break-even projections in the Ethiopia unit.	*HOLD*

AIB-AXYS May 2025 Market Scorecard

AGRICULTURAL	Current Price	Daily Change (%)	YTD change (%)	Volumes Traded	Book Value per Share	Market Cap (KES, Mn)	Market Weight (%)	Trailing EPS	Dividend Per Share	P/E Ratio	P/B Ratio	Dividend yield (%)	Payout Ratio (%)	ROE (%)	ROA (%)
Eaagads Ltd	12.00	▼ (5.9%)	-	300	44.67	385.9	0.02%	(1.91)	-	(6.3x)	0.3x	0.0%	0.0%	0.0%	0.0%
Kakuzi Plc	411.00	-	▲ 6.8%	0	272.11	8,055.6	0.40%	(43.88)	8.00	(9.4x)	1.5x	1.9%	(119.0%)	0.0%	0.0%
Kapchorua Tea Kenya Plc	200.00	▼ (1.2%)	▼ (14.9%)	2,000	249.69	1,564.8	0.08%	25.49	25.00	7.8x	0.8x	12.5%	49.0%	10.2%	7.5%
The Limuru Tea Co. Plc	320.00	-	▼ (8.6%)	0	76.28	768.0	0.04%	0.11	1.00	2,909.1x	4.2x	0.3%	29.6%	0.1%	0.1%
Sasini Plc	14.50	▼ (3.7%)	▼ (2.7%)	62,500	93.17	3,306.8	0.17%	(3.13)	1.00	(4.6x)	0.2x	6.9%	(41.3%)	0.0%	0.0%
Williamson Tea Kenya Plc	215.00	-	▼ (5.1%)	200	365.89	3,765.2	0.19%	(3.64)	25.00	(59.1x)	0.6x	11.6%	88.0%	0.0%	0.0%
Industry Median		**▼ (0.6%)**	**▼ (3.9%)**			**17,846.3**	**0.89%**			**(5.5x)**	**0.7x**	**4.4%**	**14.8%**	**0.0%**	**0.0%**

AUTOMOBILES & ACCESSORIES	Current Price	Daily Change (%)	YTD change (%)	Volumes Traded	Book Value per Share	Market Cap (KES, Mn)	Market Weight (%)	Trailing EPS	Dividend Per Share	P/E Ratio	P/B Ratio	Dividend yield (%)	Payout Ratio (%)	ROE (%)	ROA (%)
Car & General (K) Ltd	21.50	-	▼ (5.5%)	0	133.35	862.2	0.04%	(3.77)	-	(5.7x)	0.2x	0.0%	0.0%	0.0%	0.0%

BANKING	Current Price	Daily Change (%)	YTD change (%)	Volumes Traded	Book Value per Share	Market Cap (KES, Mn)	Market Weight (%)	Trailing EPS	Dividend Per Share	P/E Ratio	P/B Ratio	Dividend yield (%)	Payout Ratio (%)	ROE (%)	ROA (%)
ABSA Bank Kenya Plc	16.45	▲ 0.6%	▼ (8.9%)	444,400	15.69	89,348.8	4.47%	4.28	1.75	3.8x	1.0x	10.6%	45.6%	27.3%	4.6%
BK Group Plc	32.85	▼ (0.5%)	▲ 0.9%	500	58.88	29,458.5	1.47%	10.15	2.64	3.2x	0.6x	8.0%	27.9%	17.2%	3.0%
Diamond Trust Bank Kenya Ltd	71.50	▼ (0.3%)	▲ 3.6%	3,700	292.48	19,991.6	1.00%	29.14	7.00	2.5x	0.2x	9.8%	25.6%	10.0%	1.4%
Equity Group Holdings Plc	47.75	▲ 2.7%	▼ (1.1%)	57,700	65.42	180,193.0	9.01%	13.58	4.25	3.5x	0.7x	8.9%	34.4%	20.8%	2.8%
HF Group Plc	5.84	▼ (1.0%)	▲ 29.5%	16,600	10.50	8,721.0	0.44%	0.90	-	6.5x	0.6x	0.0%	0.0%	8.6%	1.9%
I&M Group Plc	30.30	▼ (1.0%)	▼ (16.4%)	56,100	57.13	50,104.7	2.51%	10.14	3.00	3.0x	0.5x	9.9%	32.3%	17.7%	2.9%
KCB Group Plc	38.55	▲ 0.1%	▼ (7.3%)	389,800	85.54	123,879.0	6.19%	24.94	1.50	1.5x	0.5x	3.9%	8.0%	29.2%	4.1%
NCBA Group Plc	49.10	▲ 0.1%	▲ 1.9%	47,400	66.59	80,893.2	4.04%	13.54	5.50	3.6x	0.7x	11.2%	41.4%	20.3%	3.3%
Stanbic Holdings Plc	169.00	▼ (0.7%)	▲ 23.1%	12,200	190.73	66,809.4	3.34%	35.11	20.74	4.8x	0.9x	12.3%	59.8%	18.4%	3.1%
Standard Chartered Bank Kenya Ltd	269.75	-	▼ (3.6%)	32,100	189.96	101,925.1	5.10%	52.33	45.00	5.2x	1.4x	16.7%	124.4%	27.5%	5.1%
The Co-operative Bank of Kenya Ltd	14.10	▲ 1.1%	▼ (14.3%)	539,500	24.78	82,727.2	4.14%	4.47	1.50	3.2x	0.6x	10.6%	34.6%	18.0%	3.5%
Industry Median		-	**▼ (1.1%)**			**834,051.5**	**41.71%**			**3.5x**	**0.6x**	**9.9%**	**34.4%**	**18.4%**	**3.1%**

COMMERCIAL AND SERVICES	Current Price	Daily Change (%)	YTD change (%)	Volumes Traded	Book Value per Share	Market Cap (KES, Mn)	Market Weight (%)	Trailing EPS	Dividend Per Share	P/E Ratio	P/B Ratio	Dividend yield (%)	Payout Ratio (%)	ROE (%)	ROA (%)
Eveready East Africa Ltd	0.75	▼ (9.6%)	▼ (34.8%)	2,652,600	0.30	157.5	0.01%	(0.28)	-	(2.7x)	2.5x	0.0%	0.0%	0.0%	0.0%
Express Kenya Plc	3.00	-	▼ (16.7%)	700	9.76	143.1	0.01%	(1.13)	-	(2.7x)	0.3x	0.0%	0.0%	0.0%	0.0%
Homeboyz Entertainment Plc	4.66	-	-	0	0.35	294.5	0.01%	(0.74)	-	(6.3x)	13.2x	0.0%	0.0%	0.0%	0.0%
Kenya Airways Ltd	4.17	▲ 1.5%	▲ 8.9%	33,100	0.35	263.5	0.01%	(0.74)	-	(5.6x)	11.8x	0.0%	0.0%	0.0%	0.0%
Longhorn Publishers Plc	2.40	▼ (4.0%)	▲ 4.3%	1,000,500	-0.52	653.9	0.03%	(1.89)	-	(1.3x)	(4.6x)	0.0%	0.0%	0.0%	0.0%
Nairobi Business Ventures Ltd	2.02	▲ 2.0%	▲ 0.5%	1,600	0.48	2,734.5	0.14%	0.01	-	218.7x	4.2x	0.0%	0.0%	1.9%	1.6%
Nation Media Group Plc	10.95	▼ (8.8%)	▼ (24.0%)	70,100	2.50	2,271.0	0.11%	(3.00)	-	(3.7x)	4.4x	0.0%	0.0%	0.0%	0.0%
Sameer Africa Plc	3.10	▼ (1.0%)	▲ 27.6%	2,800	2.64	862.9	0.04%	0.93	-	3.3x	1.2x	0.0%	0.0%	35.2%	17.0%
Standard Group Plc	5.62	-	▲ 12.0%	0	15.36	459.3	0.02%	(10.15)	-	(0.6x)	0.4x	0.0%	0.0%	0.0%	0.0%
TPS Eastern Africa (Serena) Ltd	14.15	▲ 1.1%	▼ (5.0%)	700	57.78	2,577.8	0.13%	2.89	-	4.9x	0.2x	0.0%	0.0%	5.0%	2.6%
Uchumi Supermarket Plc	0.30	▼ (3.2%)	▲ 76.5%	190,600	-11.73	109.5	0.01%	(5.56)	-	(0.1x)	(0.0x)	0.0%	0.0%	0.0%	0.0%
WPP Scangroup Plc	2.69	▼ (0.7%)	▲ 8.5%	300	10.75	1,162.5	0.06%	(1.17)	-	(2.3x)	0.3x	0.0%	0.0%	0.0%	0.0%
Industry Median		**▼ (0.7%)**	**▲ 0.5%**			**11,426.4**	**0.57%**			**(2.3x)**	**1.2x**	**0.0%**	**0.0%**	**0.0%**	**0.0%**

CONSTRUCTION & ALLIED	Current Price	Daily Change (%)	YTD change (%)	Volumes Traded	Book Value per Share	Market Cap (KES, Mn)	Market Weight (%)	Trailing EPS	Dividend Per Share	P/E Ratio	P/B Ratio	Dividend yield (%)	Payout Ratio (%)	ROE (%)	ROA (%)
Bamburi Cement Ltd	56.50	-	▲ 2.7%	0	69.50	20,507.2	1.03%	(1.97)	23.72	(28.7x)	0.8x	42.0%	(850.2%)	0.0%	0.0%
Crown Paints Kenya Plc	35.95	▼ (1.8%)	▲ 9.3%	800	22.25	5,117.9	0.26%	0.07	-	513.6x	1.6x	0.0%	0.0%	0.3%	0.1%
E.A Cables Ltd	2.07	▲ 8.9%	▲ 91.7%	6,900	10.06	524.0	0.03%	(1.16)	-	(1.8x)	0.2x	0.0%	0.0%	0.0%	0.0%
E.A Portland Cement Co. Ltd	38.00	-	▲ 24.2%	0	226.97	3,420.0	0.17%	20.26	-	1.9x	0.2x	0.0%	0.0%	8.9%	5.2%
Industry Median		-	**▲ 16.7%**			**29,569.1**	**1.48%**			**0.0x**	**0.5x**	**0.0%**	**0.0%**	**0.2%**	**0.1%**

ENERGY & PETROLEUM	Current Price	Daily Change (%)	YTD change (%)	Volumes Traded	Book Value per Share	Market Cap (KES, Mn)	Market Weight (%)	Trailing EPS	Dividend Per Share	P/E Ratio	P/B Ratio	Dividend yield (%)	Payout Ratio (%)	ROE (%)	ROA (%)
KenGen Co. Plc	4.86	▼ (0.4%)	▲ 33.5%	330,300	42.33	32,049.4	1.60%	1.11	0.65	4.4x	0.1x	13.4%	85.5%	2.6%	1.5%
Kenya Power & Lighting Co Plc	6.22	▲ 0.3%	▲ 29.3%	3,399,000	49.85	12,138.1	0.61%	15.41	0.70	0.4x	0.1x	11.3%	4.5%	30.9%	8.2%
TotalEnergies Marketing Kenya Plc	21.55	▼ (2.9%)	▲ 7.8%	14,900	51.19	13,566.6	0.68%	4.48	1.92	4.8x	0.4x	8.9%	42.9%	8.8%	3.7%
Umeme Ltd	16.00	-	▼ (4.5%)	0	19.64	25,982.0	1.30%	0.24	3.11	66.2x	0.8x	19.4%	1287.5%	1.2%	0.5%
Industry Median		**▼ (0.2%)**	**▲ 18.5%**			**83,736.2**	**4.19%**			**4.6x**	**0.3x**	**12.3%**	**64.2%**	**5.7%**	**2.6%**

INSURANCE	Current Price	Daily Change (%)	YTD change (%)	Volumes Traded	Book Value per Share	Market Cap (KES, Mn)	Market Weight (%)	Trailing EPS	Dividend Per Share	P/E Ratio	P/B Ratio	Dividend yield (%)	Payout Ratio (%)	ROE (%)	ROA (%)
Britam Holdings Plc	6.56	▼ (0.3%)	▲ 13.1%	41,000	11.57	16,554.1	0.83%	1.98	-	3.3x	0.6x	0.0%	0.0%	17.1%	2.4%
CIC Insurance Group Ltd	2.81	▼ (2.1%)	▲ 30.7%	53,300	4.21	7,349.7	0.37%	1.04	0.13	2.7x	0.7x	4.6%	12.5%	24.7%	4.4%
Jubilee Holdings Ltd	204.00	▲ 2.0%	▲ 17.6%	14,400	706.23	14,784.5	0.74%	65.00	13.50	3.1x	0.3x	6.6%	20.8%	9.2%	2.2%
Kenya Re- Insurance Corporation Ltd	1.68	▲ 3.7%	▲ 31.3%	2,495,400	8.71	9,407.3	0.47%	0.79	0.15	2.1x	0.2x	8.9%	19.0%	9.1%	6.9%
Liberty Kenya Holdings Ltd	11.40	▼ (0.4%)	▲ 70.7%	24,500	19.23	6,107.1	0.31%	2.59	1.00	4.4x	0.6x	8.8%	38.6%	13.5%	2.9%
Sanlam Kenya Plc	6.50	▼ (7.4%)	▲ 31.3%	5,000	12.30	936.0	0.05%	6.67	-	1.0x	0.5x	0.0%	0.0%	54.2%	2.5%
Industry Median		**▼ (0.4%)**	**▲ 31.0%**			**55,138.6**	**2.76%**			**2.9x**	**0.5x**	**5.6%**	**15.7%**	**15.3%**	**2.7%**

INVESTMENT	Current Price	Daily Change (%)	YTD change (%)	Volumes Traded	Book Value per Share	Market Cap (KES, Mn)	Market Weight (%)	Trailing EPS	Dividend Per Share	P/E Ratio	P/B Ratio	Dividend yield (%)	Payout Ratio (%)	ROE (%)	ROA (%)
Centum Investment Co Plc	11.10	▼ (0.9%)	▲ 12.3%	14,100	59.75	7,387.6	0.37%	4.27	0.60	2.6x	0.2x	5.4%	14.1%	7.1%	3.7%
Home Afrika Ltd	0.71	▼ (4.1%)	▲ 91.9%	122,100	-4.65	287.7	0.01%	0.41	-	1.7x	(0.2x)	0.0%	0.0%	(8.8%)	4.4%
Kurwitu Ventures Ltd	1,500.00	-	-	0	502.63	153.4	0.01%	(19.22)	-	(78.1x)	3.0x	0.0%	0.0%	0.0%	0.0%
Olympia Capital Holdings Ltd	3.87	-	▲ 38.2%	0	32.70	154.8	0.01%	0.49	-	7.9x	0.1x	0.0%	0.0%	1.5%	1.4%
Trans-Century Plc	1.27	▲ 0.8%	▲ 225.6%	30,600	-38.80	476.5	0.02%	(6.10)	-	(0.2x)	(0.0x)	0.0%	0.0%	0.0%	0.0%
Industry Median		-	**▲ 38.2%**			**8,460.1**	**0.42%**			**1.7x**	**0.1x**	**0.0%**	**0.0%**	**0.0%**	**1.4%**

INVESTMENT SERVICES	Current Price	Daily Change (%)	YTD change (%)	Volumes Traded	Book Value per Share	Market Cap (KES, Mn)	Market Weight (%)	Trailing EPS	Dividend Per Share	P/E Ratio	P/B Ratio	Dividend yield (%)	Payout Ratio (%)	ROE (%)	ROA (%)
Nairobi Securities Exchange Plc	7.20	▲ 0.3%	▲ 20.0%	35,300	7.53	1,874.8	0.09%	0.45	0.32	16.0x	1.0x	4.4%	71.1%	6.0%	5.4%

MANUFACTURING & ALLIED	Current Price	Daily Change (%)	YTD change (%)	Volumes Traded	Book Value per Share	Market Cap (KES, Mn)	Market Weight (%)	Trailing EPS	Dividend Per Share	P/E Ratio	P/B Ratio	Dividend yield (%)	Payout Ratio (%)	ROE (%)	ROA (%)
B.O.C Kenya Plc	80.00	-	▼ (9.9%)	0	82.79	1,562.0	0.08%	10.84	6.15	7.4x	1.0x	7.7%	56.7%	13.1%	9.4%
British American Tobacco Kenya Plc	370.25	▲ 0.2%	▼ (1.5%)	2,600	157.33	37,025.0	1.85%	37.97	50.00	9.8x	2.4x	13.5%	111.5%	24.1%	21.5%
Carbacid Investments Plc	19.30	▼ (0.8%)	▼ (7.9%)	7,300	17.97	4,918.6	0.25%	3.31	-	5.8x	1.1x	0.0%	0.0%	18.4%	18.5%
East African Breweries Plc	171.00	▼ (0.3%)	▼ (2.6%)	164,500	39.37	177,543.4	8.88%	12.47	7.00	13.7x	4.3x	4.1%	56.1%	31.7%	9.4%
Flame Tree Group Holdings Ltd	1.20	▲ 4.3%	▲ 20.0%	8,900	6.88	213.7	0.01%	1.13	-	1.1x	0.2x	0.0%	0.0%	16.4%	5.4%
Africa Mega Agricop Plc	51.00	-	▼ (27.1%)	0	2.18	656.3	0.03%	0.13	-	392.3x	23.4x	0.0%	0.0%	6.0%	1.2%
Unga Group Ltd	23.50	▲ 0.2%	▲ 56.7%	700	44.85	1,779.2	0.09%	(5.29)	-	(4.4x)	0.5x	0.0%	0.0%	0.0%	0.0%
Industry Median			**▼ (2.6%)**			**223,698.2**	**11.19%**			**7.4x**	**1.1x**	**0.0%**	**0.0%**	**16.4%**	**9.4%**

TELECOMMUNICATION	Current Price	Daily Change (%)	YTD change (%)	Volumes Traded	Book Value per Share	Market Cap (KES, Mn)	Market Weight (%)	Trailing EPS	Dividend Per Share	P/E Ratio	P/B Ratio	Dividend yield (%)	Payout Ratio (%)	ROE (%)	ROA (%)
Safaricom Plc	18.30	▼ (0.3%)	▲ 7.3%	6,342,200	3.88	733,197.3	36.66%	1.42	1.20	12.9x	4.7x	6.6%	76.4%	36.6%	11.8%
Market Average		▲ 0.1%	▲ 36.9%							3.2x	1.0x	3.9%		9.0%	3.3%

Upcoming Dividend Dates

Corporate Actions

Company	Interim/Special Dividend	Final Dividend	Book Closure	Dividend Payment
BAT		KES 50.00	23-May-25	25-Jun-25
Total Energies Marketing Plc		KES1.92	27-Jun-25	31-Jul-25
Stanbic Holdings Plc		KES 18.90	16-May-25	05-Jun-25
ABSA Bank Kenya		KES 1.55	30-Apr-25	28-May-25
Co-operative Bank of Kenya		KES 1.50	28-Apr-25	10-Jun-25
Standard Chartered Bank of Kenya		KES 37.00	30-Apr-25	28-May-25
KCB Group Plc		KES 1.50	03-Apr-25	23-May-25
Nairobi Securities Exchange		KES 0.32	21-May-25	31-Jul-25
Equity Group Holdings Plc		KES 4.25	23-May-25	30-Jun-25
Diamond Trust Bank Kenya Ltd		KES 7.00	23-May-25	27-Jun-25
BK Group		RwF 19.02	30-May-25	25-Jun-25
CIC Insurance Group		KES 0.13	22-Apr-25	18-Jun-25
Kakuzi Plc		KES 8.00	31-May-25	16-Jun-25
The Co-operative Bank		KES 1.5	28-Apr-25	10-Jun-25
NCBA Group Plc		KES 3.25	30-Apr-25	28-May-25
I&M Group Plc		KES 1.70	16-Apr-25	22-May-25
Jubilee Holdings Ltd		KES 11.50	28-May-25	25-Jul-25
Kenya RE Insurance Corporation Ltd **		KES 0.15		
Liberty Kenya Holdings Ltd (Final)		KES 1.00	14-Jun-25	24-Aug-25
Liberty Kenya Holdings Ltd (Special)	KES 0.60		14-Jun-25	24-Aug-25
Crown Paints Kenya Plc		KES 3.00	20-Jun-25	30-Jun-25
Car & General		KES 0.80	29-May-25	19-Jun-25
BOC Kenya Plc		KES 6.50	31-May-25	21-Jul-25

** *Date Subject to APPROVAL*

Source: NSE, AIB-AXYS Africa Research

CONTACTS

Research Desk

Email: research@aib-axysafrica.com

Equities Dealing

Email: trading@aib-axysafrica.com

Bond Dealing

Email: trading@aib-axysafrica.com

Derivatives Trading

Email: Derivapplications@aib- axysafrica.com

Disclaimer

AIB-AXYS Africa and its parent company AXYS Group seek to do business with companies covered in their research reports. Consequently, a conflict of interest may arise that could affect the objectivity of this report. This document should only be considered a single factor used by investors in making their investment decisions. The reader should independently evaluate the investment risks and is solely responsible for their investment decisions. The opinions and information portrayed in this report may change without prior notice to investors.

This publication is intended solely for informational purposes and is not authorized for public distribution or use by the public media without prior and express written consent of AIB-AXYS Africa or AXYS Group. Redistribution or dissemination of this material, in whole or in part, is strictly prohibited and may lead to legal actions. By accessing this report, you acknowledge and agree to abide by these terms, ensuring the security and confidentiality of its contents.

This document does not constitute an offer, or the solicitation of an offer, for the sale or purchase of any security. Whilst every care has been taken in preparing this document, no representation, warranty or undertaking (express or implied) is given and no responsibility or liability is accepted by AIB-AXYS Africa or any of its employees as to the accuracy of the information contained and opinions expressed in this report.

Unlock our Exclusive Research spanning Macroeconomics, Equities, Fixed Income, and Sector-Specific Analyses now seamlessly on AlphaSense, LSEG, Tellimer, and S&P Global platforms

S&P Global Tellimer AlphaSense LSEG

Begin your investment journey on our award-winning AIB Digitrader App.
Available on both Google Play and Appstore.

